

Interparfums Inc (IPAR US) vs Interparfums SA (ITP FP)

Anatomy of a Parent-Subsidiary Premium: Why the Nasdaq Parent Trades ~50-60% Richer Than Its Paris-Listed Subsidiary

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1. Executive Summary

The two listings are not the same claim on the same assets, but they overlap heavily.

Interparfums Inc (IPAR US, Nasdaq) owns ~72% of Interparfums SA (ITP FP, Euronext Paris) plus 100% of a separate, wholly-owned US-based fragrance business. ITP FP is a pure claim on the European operations (Montblanc, Jimmy Choo, Coach, Lacoste, etc.), which generated ~68% of consolidated group sales in FY2025. A naive P/E comparison therefore mixes a holding-company effect with a genuine valuation gap — but even after correcting for structure, the gap is real and large.

- **The headline premium:** IPAR US trades at ~24.5x trailing EPS (\$128.55 / \$5.24) and ~26.5x 2026 guided EPS (\$4.85). ITP FP trades at ~16x trailing earnings and ~16.4x consensus 2026 EPS. That is a ~50% trailing and ~60% forward P/E premium.
- **The stub math is more striking:** IPAR's 72% stake in ITP is worth ~\$1.8bn at market (43% of IPAR's \$4.1bn market cap). The market therefore implicitly values IPAR's wholly-owned US operations (FY25 sales \$482m, the group's lower-margin segment) at ~\$2.3bn — roughly 30-40x our estimated US-segment earnings, versus ~16x for the larger, higher-margin European business via ITP.
- **Why it persists:** a ~20x liquidity gap (\$35-40m/day vs ~€1.5-2m/day), a 27.4% free float in Paris vs ~55% in New York, US index membership and passive/institutional sponsorship for IPAR, far deeper US analyst coverage, a control premium embedded in the parent vs a structurally catalyst-free minority position in the subsidiary, and a currency-reporting asymmetry that has flattered IPAR's USD-reported results while penalising ITP's EUR-reported results as the euro strengthened through 2025-26.
- **Last 12 months widened the gap:** ITP FP is down ~25% over one year (52-week range €20.74-31.54, now ~€25.1-25.6) after a November 2025 guidance disappointment, a July 2026 H1 report showing sales -3.7% at constant FX (-7.3% reported), a H1 operating-margin guide of 19-20% vs 23.2% a year earlier, the Boucheron license exit to Kering Beauté, Middle East war headwinds and US tariffs. IPAR US, despite a deep mid-period drawdown (52-week low \$77.21 amid a delayed 10-K, an internal-control material weakness and an auditor change), has recovered to \$128.55 — near the upper half of its 52-week range — helped by an 18% Q2 rebound in its wholly-owned US brands (Ferragamo +41%, DKNY +28%, GUESS +10%), which ITP shareholders have zero exposure to.
- **Bottom line:** roughly half the 'premium' is structural and rational (control, liquidity, index sponsorship, plus the US stub); the remainder is a market-inefficiency discount on ITP that has no obvious near-term catalyst to close — the parent has no incentive to buy in a minority stake it already controls, and float/liquidity keep most institutions out of the Paris line. ITP is, on look-through numbers, the cheaper way to own the same core franchise — but it has been cheap for years, pays you ~4.1% (plus annual bonus shares) to wait, and is likely to stay cheap until the operating momentum of the European segment turns.

2. Corporate & Ownership Structure

The group operates one of the more unusual structures in global consumer staples: a US-listed parent that conducts about two-thirds of its business through a separately listed French subsidiary.

	Interparfums Inc (IPAR US)	Interparfums SA (ITP FP)
Role in group	Parent / holding + operating co.	Operating subsidiary (European ops)
Listing	Nasdaq Global Select ('IPAR')	Euronext Paris ('ITP', ISIN FR0004024222)
Founded / listed	1985 (as Jean Philippe Frangrances); renamed Inter Parfums 1999	1982 (France); listed on Paris bourse 1995
Control	Founders Jean Madar (Chairman/CEO) & Philippe Benacin, combined beneficial ownership ~mid-40s%	~72% owned by Interparfums Inc; Philippe Benacin is CEO of the SA
Free float	~55% of shares	27.4% (free-float cap ~€0.5–0.6bn)
What it owns	72% of ITP FP + 100% of US-based operations (US & Italy subsidiaries)	European-based operations only
Reporting	US GAAP, USD	IFRS, EUR

Two consequences follow. First, **IPAR consolidates 100% of ITP's results and deducts a ~28% minority interest** — so IPAR's \$5.24 FY25 diluted EPS already reflects only its 72% economic share of the European profits plus 100% of the US profits. Second, **ITP shareholders own none of the US business** — the segment that is currently re-accelerating. The two equities are therefore claims on overlapping but different asset pools, and part of any 'premium' comparison must adjust for this.

3. Market Snapshot & Trading Comparison

Metric (Aug 2026)	IPAR US	ITP FP
Share price	\$128.55	€25.58 (€25.10 last close per Boursorama)
Market cap	~\$4.13bn (32.0m shares)	~€2.12bn (~83m shares)
52-week range	\$77.21 – \$140.73	€20.74 – €31.54
1-year performance	Roughly flat-to-up; deep drawdown mid-period, since recovered to upper half of range	c. –25% (partial 1-month rebound of ~+8% into August)
Avg daily volume	~287k shares ≈ \$35–40m/day	~54–80k shares ≈ €1.5–2m/day
Trailing P/E	~24.5x (FY25 EPS \$5.24)	~16x (FY25 net margin 14.1% on ~€900m sales)
Forward P/E (2026E)	~26.5x (guided EPS \$4.85)	~16.4x (consensus)
Dividend yield	~2.5–2.7% (\$3.20/yr, paid quarterly)	~4.1–4.4% (€1.05/share) + annual bonus shares
Index membership	S&P MidCap 400 constituent; Nasdaq Composite; Russell indices	SBF 120, CAC Mid 60 (weight capped by 27.4% float)
Analyst coverage	US coverage, avg rating 'Strong	Thin, mostly French mid-cap brokers

The liquidity gap is roughly **20x in value terms**. For an institution needing to build a \$50m position, IPAR is a ~1.5-day trade; ITP is a multi-month exercise in a 27% float. This alone disqualifies the Paris line for most US mid-cap mandates and explains much of the persistent structural discount.

4. Product Offerings: Who Owns Which Brands

Both entities run the same business model — long-dated fragrance licenses (typically 10–15 years) for prestige fashion and luxury houses, plus a small number of owned brands — but the portfolios are entirely distinct:

4.1 European operations — Interparfums SA (ITP FP; FY25 sales \$1,016m / ~€900m, +7% in USD)

- **Anchor licenses:** Montblanc, Jimmy Choo, Coach — historically the three largest group brands; Jimmy Choo +23% in Q2 2026, Coach –8%.
- **Lacoste** (license took effect 2024, previously with Coty): a scale addition but currently soft — sales –19% in Q2 2026.
- **Other licenses:** Moncler, Karl Lagerfeld, Van Cleef & Arpels, Kate Spade, and Boucheron — the Boucheron license, originally a 15-year agreement from 2011, has been extended by two years to end-2027, after which the brand moves in-house to Kering Beauté.
- **Owned brands:** Rochas (acquired 2015) — brand ownership rather than license.
- **Pipeline:** Off-White (perfume & cosmetics license signed December 2024) and Longchamp (signed spring 2025) — both scheduled for first launches in 2027, partly refilling the Boucheron hole.

4.2 US operations — wholly owned by Interparfums Inc (FY25 sales \$482m, –6% in FY25, +18% in Q2 2026)

- **Key licenses:** GUESS, Donna Karan/DKNY, Salvatore Ferragamo, Roberto Cavalli, Abercrombie & Fitch, Hollister, Oscar de la Renta, MCM, Anna Sui, Ungaro.
- **Momentum has flipped positive:** after a –6% FY2025, Q2 2026 US-segment sales rose 18% (Ferragamo +41%, Donna Karan/DKNY +28%, GUESS +10%), driving the group's consolidated +2% quarter. The FY25 results release also cited blockbuster launches across Jimmy Choo, GUESS and David Beckham lines.

Analytical point: ITP FP offers the more 'luxury' portfolio (Montblanc, Jimmy Choo, VCA, Moncler) with structurally higher operating margins (FY25 SA operating margin 19.5%, ~20.3% ex-tariffs, vs low-teens historically in the US segment). IPAR US is the only way to access the currently faster-growing US mass-prestige portfolio — and the market is paying up aggressively for that access.

5. Quantifying the Premium

5.1 Look-through P/E

	IPAR US	ITP FP
FY2025 net income attributable	~\$169m (EPS \$5.24 × ~32.2m diluted)	~€127m (14.1% net margin × ~€900m)
Market cap	~\$4.13bn	~€2.12bn
Trailing P/E	~24.5x	~16.3x

2026E P/E	~26.5x (EPS \$4.85 guided)	~16.4x
Premium (IPAR over ITP)	≈ +50% trailing / +60% forward	—

5.2 Stub / sum-of-the-parts view (at EUR/USD ≈ 1.16)

- Value of IPAR's 72% of ITP at the Paris market price: $0.72 \times \text{€}2.12\text{bn} \approx \text{€}1.53\text{bn} \approx \text{\$}1.77\text{bn}$ — **only ~43% of IPAR's market cap.**
- Implied value of the residual 'stub' (100% of US operations plus parent-level net cash): **~\$2.35bn.**
- Against FY25 US-segment sales of \$482m and estimated US-segment net earnings of roughly \$60–70m (group \$169m less 72% of the SA's ~€127m), the stub is implicitly valued at **~4.9x sales and ~30–40x earnings** — for the segment with the lower margin and, until this year, negative growth.
- Read the other way: if the US stub were valued at a generous 25x, the market is pricing IPAR's ITP stake ~35–45% above the Paris quote — i.e. **the market pays a large premium to hold the European business through the US parent rather than directly in Paris.**

Caveat: US GAAP vs IFRS differences, parent-level cash and intercompany arrangements blur precision, and the FY25 EUR net income translates at the average (not spot) rate. But no reasonable adjustment eliminates a premium of this size.

6. Why Does the Premium Exist?

6.1 Structural / permanent factors

- **Liquidity:** ~\$35–40m/day traded in IPAR vs ~€1.5–2m/day in ITP. Most institutional mandates simply cannot own the Paris line at size.
- **Free float:** 27.4% float in Paris (72% held by the parent) vs ~55% in New York. Low float depresses index weights, passive flows and price discovery in ITP.
- **Index sponsorship:** IPAR sits in the S&P MidCap 400 and Russell universes, giving it a permanent passive bid from US index funds; ITP's SBF 120 / CAC Mid 60 membership carries a float-capped, much smaller passive following.
- **Listing-venue valuation regime:** US-listed beauty/fragrance names habitually command higher multiples than European mid-caps (deeper market, higher retail participation, richer consumer-staples comps). French mid-caps have additionally suffered years of outflows and de-rating.
- **Control premium vs minority discount:** IPAR is the control vehicle — the founders' economic exposure runs through it, strategy is set there, and the US ops are added at 100%. ITP is a permanent minority position: the parent has no need to bid for the ~28% it doesn't own, so the classic 'buy-in catalyst' that closes most parent/sub discounts is absent. It has been absent for nearly 30 years.
- **Coverage and visibility:** US analyst coverage with a 'Strong Buy' consensus vs thin French mid-cap coverage of ITP.

6.2 Cyclical factors specific to the last 12 months

- **Currency asymmetry:** the euro's strength through 2025–26 boosts IPAR's USD-reported figures (European segment +7% in USD in FY25) while ITP's EUR-reported H1 2026 sales fell 7.3% reported vs 3.7% constant-FX (a €16.4m translation hit). Same business, opposite optical momentum.

- **Divergent segment momentum:** Q2 2026 European sales –4% (in USD) vs US segment +18%. The growth engine has rotated to the piece ITP holders don't own.
- **ITP-specific bad news:** H1 2026 operating-margin guidance cut to 19–20% (vs 23.2% in H1 2025); FY26 SA sales guided to €850–870m (~–3% constant-FX); Boucheron exit; ~€15m Middle East conflict impact; €7.6m FY25 US tariff cost; 'foggy' 2026 outlook that drove a –10% single-day fall in Paris in November 2025 and an –8.9% fall to €24.26 after the July 2026 H1 release.
- **IPAR-specific bad news that didn't stick:** the delayed 10-K, the material weakness in internal controls (FY2024 & FY2025) and the May 2026 auditor switch from Forvis Mazars to Grant Thornton knocked the stock into the \$77–90 area in spring 2026 — but clean audit opinions, record Q1 results and the reaffirmed FY26 guide (\$1.48bn sales, \$4.85 EPS) repaired sentiment within months.

7. News Flow — Trailing 12 Months (Aug 2025 → Aug 2026)

Date	Event & share-price relevance
Aug–Sep 2025	US tariffs on EU-manufactured goods begin to bite fragrance importers; SA later quantifies FY25 tariff impact at €7.6m (~80bp of operating margin). Both stocks trade near 12-month highs (IPAR up to ~\$140; ITP ~€31).
18–19 Nov 2025	IPAR trims 2025 forecast and issues initial 2026 guidance: sales \$1.48bn (~flat), EPS \$4.85 (–5% vs 2025). ITP declines to give quantified 2026 guidance, citing geopolitical fog and the Boucheron exit — Paris stock falls ~10% in a day. The de-rating of ITP begins in earnest.
24 Feb 2026	Record FY2025 results: consolidated sales \$1.49bn (+2%), diluted EPS \$5.24; European segment +7% (USD), US segment –6%. SA reports operating margin 19.5% (20.3% ex-tariffs), net margin 14.1%, dividend €1.05 proposed.
Mar 2026	IPAR files NT 10-K — annual report delayed for internal-control remediation; discloses material weakness in ICFR as of Dec 2024 and Dec 2025. Stock sells off toward its 52-week low (\$77.21) amid a broader risk-off tape.
5 May 2026	Record Q1 2026 results; FY26 guidance reaffirmed. Recovery in IPAR begins.
8–14 May 2026	Audit Committee dismisses Forvis Mazars, appoints Grant Thornton (8-K filed 14 May). No disagreements or qualified opinions reported; market treats it as remediation, not scandal.
Jun 2026	ITP completes its 27th consecutive annual free-share attribution (1 new share per 20 held; ~4.2m new shares) — a hallmark of its French retail-holder register.
22–27 Jul 2026	Q2/H1 sales. IPAR (USD): Q2 +2%, US segment +18%, Europe –4%. ITP (EUR): H1 sales €414m, –3.7% constant-FX / –7.3% reported; FY26 guided €850–870m; H1 operating margin guided 19–20% vs 23.2%. ITP drops ~9% to ~€23.8–24.3, near its 52-week low, then rebounds ~8% over the following weeks as brand detail (Jimmy Choo +23%) reassures.
4 Aug 2026	IPAR full Q2/H1 results: EPS on track, FY26 guidance (\$1.48bn / \$4.85) reaffirmed; Ferragamo +41%, DKNY +28%, GUESS +10%; Coach –8%, Lacoste –19%. IPAR trades ~\$128 — the 12-month premium over ITP at its widest.

Net effect: over the trailing year ITP fell ~25% while IPAR round-tripped a severe drawdown to finish roughly flat-to-higher. The premium therefore widened materially — driven less by anything IPAR did than by ITP's compounding of FX translation, Middle East, tariffs, Lacoste softness, the Boucheron exit and a guidance style French investors punished.

8. Assessment: Is the Premium Justified?

8.1 The defensible portion

- Liquidity, index membership and float mechanics justify a durable premium for the parent — arguably 15–25% on their own, consistent with discounts observed in comparable European parent/subsidiary pairs.
- The control premium is real: IPAR sets capital allocation for the whole group and captures 100% of the US upside, which is currently the growth engine.
- Currency: for a USD-based investor, IPAR is the natural instrument; ITP embeds EUR reporting and French withholding tax friction on its (higher) dividend.

8.2 The excess portion

- An implied ~30–40x on the US stub — the historically lower-margin, lower-quality segment — is difficult to defend against ~16x for the larger, more profitable, more 'luxury' European portfolio.
- IPAR's own governance flags (material weakness, auditor change, delayed 10-K) sit oddly with a premium rating; the market has chosen to look through them quickly.
- ITP's ~4.1–4.4% dividend yield, net-cash balance sheet, 27-year bonus-share record and 2027 pipeline (Off-White, Longchamp) are being priced as if the European franchise were ex-growth — 2026 is more plausibly a **transition year** (Boucheron exit, FX, Middle East) than a structural break.

8.3 What could close the gap

- **Fundamental catalysts (more likely):** European segment growth resuming in 2027 on Off-White/Longchamp launches and Lacoste stabilisation; euro weakening (reverses the optical asymmetry); H2 2026 beating the cautious 19–20% margin guide.
- **Structural catalysts (less likely):** any buy-in of ITP minorities (no sign in ~30 years; the free-share policy suggests the SA values its French listing), a float increase, or index/flow changes. None appears imminent — which is precisely why the discount persists.
- **Risks to owning ITP for convergence:** value-trap duration risk, near-zero liquidity for exit, continued euro strength, deeper European fragrance downcycle, and the possibility that Boucheron's departure marks the start of licensors in-housing beauty (the Kering Beauté precedent) — a risk that applies to both entities but is concentrated in the SA's luxury-heavy portfolio.

9. Conclusion

IPAR US's premium over ITP FP is the sum of three stacked effects: **(i) a composition effect** — IPAR includes a wholly-owned US business currently growing 18% that ITP holders don't touch; **(ii) a structural market-access effect** — liquidity, float, US indices, coverage and control all reside with the parent; and **(iii) a 12-month news-flow effect** — FX translation and a run of SA-level disappointments (guidance fog, margin cut, Boucheron, Middle East, tariffs, Lacoste) de-rated the Paris line by ~25% while IPAR recovered fully from its own governance wobble. On look-through economics ITP is unambiguously the cheaper claim on the group's best assets and pays ~4%+ to wait; but with no buy-in catalyst, a 27% float and €1.5–2m daily liquidity, cheapness alone has never been sufficient here. For absolute-return investors the Paris line is a patient, income-carrying value position; for anyone benchmarked, liquidity-constrained or momentum-aware, the market's verdict — pay up for the parent — is likely to remain the path of least resistance into 2027.

Appendix: Principal Sources

- Interparfums Inc press releases: record FY2025 results (24 Feb 2026); Q1 2026 results (5 May 2026); Q2 2026 net sales (22 Jul 2026); Q2/H1 2026 results and reaffirmed guidance (4 Aug 2026) — GlobeNewswire/SEC filings.
- Interparfums SA (interparfums-finance.fr): H1 2026 sales release (€414.3m, –3.7% cc / –7.3% reported; FY26 guide €850–870m); FY2025 results (operating margin 19.5%, net margin 14.1%, dividend €1.05).
- SEC filings: NT 10-K (Mar 2026); 8-K auditor change Forvis Mazars → Grant Thornton (May 2026) via StockTitan/Investing.com summaries.
- Market data: Yahoo Finance, stockanalysis.com, Investing.com, CNBC, Boursorama, MarketScreener, ABC Bourse (prices, ranges, volumes, float 27.4%, index memberships), early August 2026.
- Trade press: WWD, Business of Fashion, BeautyMatter, Cosmetics Business, Premium Beauty News, Happi, BFM Bourse/TradingSat (license changes: Boucheron extension to end-2027 and move to Kering Beauté; Off-White Dec 2024; Longchamp spring 2025; Lacoste performance).

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